

Financial Performance - Historical

Kimpton Angler's Hotel • Miami Beach, Florida

	Year Ended December 31, 2022		Year Ended December 31, 2023		Year Ended December 31, 2024		Trailing Twelve April 30, 2025		Adjusted Trailing Twelve April 30, 2025 (3)		Forecast Year Ended December 31, 2025 (3)	
	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio
Revenue												
Rooms	\$11,290,523	76.6%	\$9,807,993	75.8%	\$9,496,407	70.4%	\$9,359,943	66.8%	\$9,359,943	66.8%	\$9,377,839	62.8%
Food & Beverage	2,460,440	16.7%	2,111,536	16.3%	2,739,041	20.3%	3,344,782	23.9%	3,344,782	23.9%	4,287,353	28.7%
Other Operated Depts.	27,966	0.2%	15,886	0.1%	17,806	0.1%	20,474	0.1%	20,474	0.1%	19,692	0.1%
Miscellaneous	953,810	6.5%	1,004,792	7.8%	1,228,476	9.1%	1,279,539	9.1%	1,279,539	9.1%	1,256,645	8.4%
Total Revenue	14,732,739	100.0%	12,940,207	100.0%	13,481,730	100.0%	14,004,738	100.0%	14,004,738	100.0%	14,941,529	100.0%
Departmental Expenses												
Rooms	2,825,148	25.0%	2,592,840	26.4%	2,769,483	29.2%	2,787,352	29.8%	2,787,352	29.8%	2,744,431	29.3%
Food & Beverage	2,446,506	99.4%	2,040,345	96.6%	2,290,364	83.6%	2,595,776	77.6%	2,595,776	77.6%	3,021,104	70.5%
Other Operated Depts.	11,399	40.8%	7,209	45.4%	5,125	28.8%	7,876	38.5%	7,876	38.5%	9,387	47.7%
Total Departmental Expenses	5,283,053	35.9%	4,640,394	35.9%	5,064,972	37.6%	5,391,004	38.5%	5,391,004	38.5%	5,774,922	38.7%
Total Departmental Profit	9,449,686	64.1%	8,299,813	64.1%	8,416,758	62.4%	8,613,734	61.5%	8,613,734	61.5%	9,166,607	61.3%
Undistributed Oper. Expenses												
Admin. & Gen.	1,353,668	9.2%	1,205,097	9.3%	1,264,088	9.4%	1,307,230	9.3%	1,307,230	9.3%	1,355,323	9.1%
Info. & Telecomm. Systems	209,793	1.4%	210,497	1.6%	177,127	1.3%	179,443	1.3%	179,443	1.3%	179,331	1.2%
Marketing	1,147,796	7.8%	1,182,346	9.1%	1,169,427	8.7%	1,133,983	8.1%	1,133,983	8.1%	1,121,907	7.5%
Utility Costs	204,038	1.4%	236,356	1.8%	291,457	2.2%	285,470	2.0%	285,470	2.0%	276,067	1.8%
Property Oper. & Maint.	678,880	4.6%	729,044	5.6%	637,067	4.7%	634,210	4.5%	634,210	4.5%	716,822	4.8%
Total Undistributed Oper. Expenses	3,594,175	24.4%	3,563,340	27.5%	3,539,166	26.3%	3,540,336	25.3%	3,540,336	25.3%	3,649,450	24.4%
Gross Operating Profit	5,855,511	39.7%	4,736,474	36.6%	4,877,592	36.2%	5,073,398	36.2%	5,073,398	36.2%	5,517,157	36.9%
Management Fees (1)	441,982	3.0%	388,206	3.0%	619,834	4.6%	650,437	4.6%	420,142	3.0%	448,246	3.0%
Income Before Fixed Charges	5,413,528	36.7%	4,348,267	33.6%	4,257,758	31.6%	4,422,961	31.6%	4,653,256	33.2%	5,068,911	33.9%
Fixed Charges												
Insurance	1,015,240	6.9%	1,351,728	10.4%	1,474,459	10.9%	1,413,796	10.1%	1,162,213	8.3%	1,162,213	7.8%
Property Taxes	482,956	3.3%	496,949	3.8%	693,677	5.1%	540,187	3.9%	540,187	3.9%	566,227	3.8%
Rent	18,102	0.1%	17,918	0.1%	10,044	0.1%	9,804	0.1%	9,804	0.1%	13,236	0.1%
Total Fixed Charges	1,516,298	10.3%	1,866,595	14.4%	2,178,180	16.2%	1,963,787	14.0%	1,712,204	12.2%	1,741,676	11.7%
EBITDA	3,897,231	26.5%	2,481,672	19.2%	2,079,578	15.4%	2,459,174	17.6%	2,941,052	21.0%	3,327,235	22.3%
Reserve for Replacement (2)	589,310	4.0%	517,608	4.0%	539,269	4.0%	560,190	4.0%	560,190	4.0%	597,661	4.0%
Net Operating Income	\$3,307,921	22.5%	\$1,964,064	15.2%	\$1,540,309	11.4%	\$1,898,984	13.6%	\$2,380,862	17.0%	\$2,729,574	18.3%
NCI / Key	\$25,060		\$14,879		\$11,669		\$14,386		\$18,037		\$20,679	
Operating Statistics												
Occupancy	85.0%		82.4%		83.3%		83.2%		83.2%		82.9%	
Average Daily Rate	\$275.60		\$247.08		\$236.09		\$233.51		\$233.51		\$234.79	
RevPAR	\$234.34		\$203.57		\$196.56		\$194.27		\$194.27		\$194.64	
Number of Rooms	132		132		132		132		132		132	
Days In Period	365		365		366		365		365		365	
Available Rooms	48,180		48,180		48,312		48,180		48,180		48,180	
Occupied Rooms	40,967		39,696		40,223		40,083		40,083		39,941	

(1) In 2024, the property hired Georgios Hospitality to manage the F&B department. The F&B management fee is reflected beginning in 2024.

(2) Included on a pro forma basis at 4% of Total Revenue.

(3) Adjusted to reflect annualized insurance savings from May 2025 insurance renewal and for standardized 3% management fees.

- The month of April saw 2.9% RevPAR growth year-over-year thanks to a strong Easter week and demand stimulated by the F1 Grand Prix.
- In the first four months of 2025, the Angler's added ~\$600,000 of F&B revenue, resulting in incremental profit of ~\$300,000. The operations of Georgios Hospitality continues to improve since their initial installation as F&B manager in Q1 2024.
- Preliminary estimates for the 2025/2026 insurance renewal show an 18.5% reduction effective May 2025 driven by decreases in AOP and wind load rates. Annual expense will decrease to approximately \$1,016,365, and we expect to lower the property insurance accrual by roughly \$19,000 starting with May 2025 financials. Discussions with local insurance experts indicate additional savings under a new buyer's policy.
- A successful property tax appeal reduced the original 2024 fair market value from \$25,670,000 to \$23,909,135.

Financial Performance - Pro Forma

Kimpton Angler's Hotel • Miami Beach, Florida

	2025		2026		2027		2028		2029	
	Year One		Year Two		Year Three		Year Four		Year Five	
	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio	Amount	Ratio
Revenue										
Rooms	\$9,377,839	62.8%	\$10,018,111	61.0%	\$10,619,198	59.6%	\$11,020,982	59.6%	\$11,375,550	59.6%
Food & Beverage	4,287,353	28.7%	5,088,969	31.0%	5,852,314	32.8%	6,073,740	32.8%	6,269,146	32.8%
Other Operated Depts.	19,892	0.1%	20,283	0.1%	20,993	0.1%	21,727	0.1%	22,488	0.1%
Miscellaneous	1,256,645	8.4%	1,294,344	7.9%	1,339,646	7.5%	1,386,534	7.5%	1,435,063	7.5%
Total Revenue	14,941,529	100.0%	16,421,707	100.0%	17,832,151	100.0%	18,502,984	100.0%	19,102,246	100.0%
Departmental Expenses										
Rooms	2,744,431	29.3%	2,796,075	27.9%	2,879,958	27.1%	2,974,483	27.0%	3,055,347	26.9%
Food & Beverage	3,021,104	70.5%	3,689,503	72.5%	4,096,620	70.0%	4,231,079	69.7%	4,346,104	69.3%
Other Operated Depts.	9,387	47.7%	6,693	33.0%	6,894	32.8%	7,101	32.7%	7,314	32.5%
Total Departmental Expenses	5,774,922	38.7%	6,492,271	39.5%	6,983,472	39.2%	7,212,663	39.0%	7,408,765	38.8%
Total Departmental Profit	9,166,607	61.3%	9,929,436	60.5%	10,848,680	60.8%	11,290,320	61.0%	11,693,481	61.2%
Undistributed Oper. Expenses										
Admin. & Gen.	1,355,323	9.1%	1,287,557	7.8%	1,326,184	7.4%	1,365,969	7.4%	1,406,948	7.4%
Info. & Telecomm. Systems	179,331	1.2%	197,060	1.2%	202,972	1.1%	209,061	1.1%	215,333	1.1%
Marketing	1,121,907	7.5%	853,929	5.2%	879,547	4.9%	905,933	4.9%	933,111	4.9%
Utility Costs	276,067	1.8%	282,479	1.7%	290,954	1.6%	300,503	1.6%	308,673	1.6%
Property Oper. & Maint.	716,822	4.8%	706,133	4.3%	727,317	4.1%	749,137	4.0%	771,611	4.0%
Total Undistributed Oper. Expenses	3,649,450	24.4%	3,327,159	20.3%	3,426,974	19.2%	3,530,604	19.1%	3,635,676	19.0%
Gross Operating Profit	5,517,157	36.9%	6,602,277	40.2%	7,421,706	41.6%	7,759,716	41.9%	8,057,805	42.2%
* Management Fees	448,246	3.0%	492,651	3.0%	534,965	3.0%	555,090	3.0%	573,067	3.0%
Income Before Fixed Charges	5,068,911	33.9%	6,109,626	37.2%	6,886,741	38.6%	7,204,627	38.9%	7,484,737	39.2%
Fixed Charges										
Insurance	1,162,213	7.8%	987,881	6.0%	1,017,517	5.7%	1,048,043	5.7%	1,079,484	5.7%
Property Taxes	566,227	3.8%	571,436	3.5%	588,579	3.3%	606,237	3.3%	624,424	3.3%
Rent	13,236	0.1%	13,633	0.1%	14,042	0.1%	14,463	0.1%	14,897	0.1%
Total Fixed Charges	1,741,676	11.7%	1,572,950	9.6%	1,620,139	9.1%	1,668,743	9.0%	1,718,805	9.0%
EBITDA	3,327,235	22.3%	4,536,676	27.6%	5,266,603	29.5%	5,535,884	29.9%	5,765,932	30.2%
Reserve for Replacement	597,661	4.0%	656,868	4.0%	713,286	4.0%	740,119	4.0%	764,090	4.0%
Net Operating Income	\$2,729,574	18.3%	\$3,879,807	23.6%	\$4,553,317	25.5%	\$4,795,765	25.9%	\$5,001,842	26.2%
<i>NOI / Key</i>	<i>\$20,679</i>		<i>\$29,392</i>		<i>\$34,495</i>		<i>\$36,332</i>		<i>\$37,693</i>	
Operating Statistics										
Occupancy	82.9%		82.0%		82.0%		82.0%		82.0%	
Average Daily Rate	\$234.79		\$253.57		\$268.79		\$278.20		\$287.93	
RevPAR	\$194.64		\$207.93		\$220.41		\$228.12		\$236.11	
Number of Rooms	132		132		132		132		132	
Days In Period	365		365		365		366		365	
Available Rooms	48,180		48,180		48,180		48,312		48,180	
Occupied Rooms	39,941		39,508		39,508		39,616		39,508	
Change in Revenue	6.7%		9.9%		8.6%		3.8%		3.2%	
Change in Costs	0.9%		2.7%		5.9%		3.2%		2.9%	

- **Miami Beach market is continuing to improve, with RevPAR up 4.7% YTD through April, driven by 1.5% and 3.1% growth in occupancy and ADR, respectively**
 - Miami-Dade tourism growth is expected to remain robust, with strong growth in cruise passenger traffic, a 10% gain in RevPAR over the four days leading up to and including the F-1 in early May, and solid pacing later in this year
 - The headline regarding declining U.S. international in-bound demand in March was significantly overblown and was largely due to the shift of the Easter holiday from March to April in 2025. April international in-bound demand was up 8.0% and April YTD was down only down 0.2%. While there is expected to be some impact going forward, particularly from Canada, international bookings into Miami-Dade are largely holding up
- **Angler's April YTD NOI is up \$139K compared to prior year, driven by a \$302K gain in F&B departmental profit**
 - Georgio's Hospitality's restaurant, bar and rooftop operations continue to ramp up following their initial installation as F&B manager in Q1 2024, with F&B revenue up \$607K or 66% YTD through April
 - Additional F&B gains are expected over the next twelve months following physical improvements and refinement of menus over the last year; with a broader marketing effort and growing reputation there remains significant F&B revenue upside as well as further opportunity for operating expenses optimization
 - The year-to-date food and beverage performance improvements really speak to the viability of the F&B outlets at the Angler's and show the upside potential from having the right concept and operator in the space. Kimpton did not have the right concept or positioning, and that same product / brand mismatch has impaired performance across the P&L
- **The Angler's 2025 insurance renewal will result in an estimated 18.5% or \$230K reduction in annual insurance premium for the May 2025 – April 2026 period**
 - Applying this reduction to the April T12 performance would improve the NOI to \$2.17MM

- **The hotel's rooms revenue continues to substantially underperform potential, providing unique upside with a fresh approach to brand and management**
 - RevPAR was down 2.3% April YTD and 4.9% over the T-12 months, while comp set #2 was up 3.4% and 2.2% for the April YTD and T-12 month periods, respectively – Angler's RevPAR index against Set #2 has declined 6.9% over the last 12 months (note that due to changes in reporting and other shifts, Comp Set #1 is no longer used)
 - There is also some noise in Comp Set #2 and a comparison to the broader Miami Beach market provides the most relevant comparison – compared to market gains of 4.7% April YTD and 3.9% April T12, the Angler's underperformed to an even greater degree
 - The Kimpton brand and systems have constrained performance over the last three years, delivering weak brand contribution while restricting other sales and revenue strategies
 - Between Brand and CRS, Kimpton/IHG's contribution equated to only 32% for both 2024 (27.1% ppt of 83.7% occupancy) and YTD through April 2025 (28.9% ppt of 90.5% occupancy).
 - One of the main issues relates to OTA distribution, which is critical in resort markets. IHG's system places significant limits on the types of discounts that can be offered. They also have a cumbersome internal process to approve of OTA promotions and discounts, which takes several days and restricts the ability to be nimble in the day to drive last minute pickup
 - Placement on OTA's is another issue. Because there is a lower IHG member rate, all Kimpton (like other brands) gets dimmed in the sort order. In a market as large as Miami, being on the first page is critical. In Expedia's current algorithm there are two primary ways to get placement: 1) offer discounts, or 2) pay through Travel Ads and Accelerator programs. Because the IHG system limits the ability to offer discounts, the Angler's is forced to buy placement through Travel Ad purchases.
 - Kimpton's leadership and shared staffing model has also negatively impacted the Angler's over the last three years
 - The effectiveness of shared sales and revenue management deteriorated as those resources also supported the ramp up of The Palomar post 2020 opening and Surfcomber after their 2022 renovation
 - The consortia segment has significant potential. The team has not been successful in providing a compelling pitch to key luxury and lifestyle programs such as Amex Hotel Collection in part due to Kimpton's concept and execution challenges when they were managing F&B
 - The Angler's has lacked stability in property-level leadership with three GMs in as many years, plus engineering and F&B leadership turnover